



KCB

Making the
Difference

KCB INVESTOR PRESENTATION

1H2016

GROUP FINANCIAL RESULTS

AUGUST, 2016

JOSHUA OIGARA
GROUP CEO

LAWRENCE KIMATHI
GROUP CFO



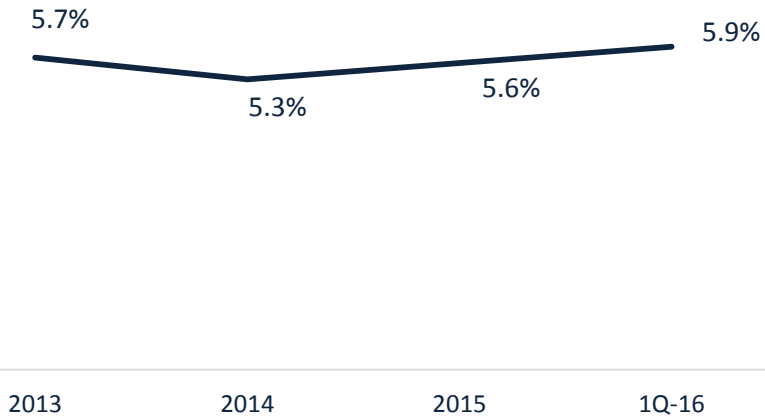
KCB

Making the
Difference

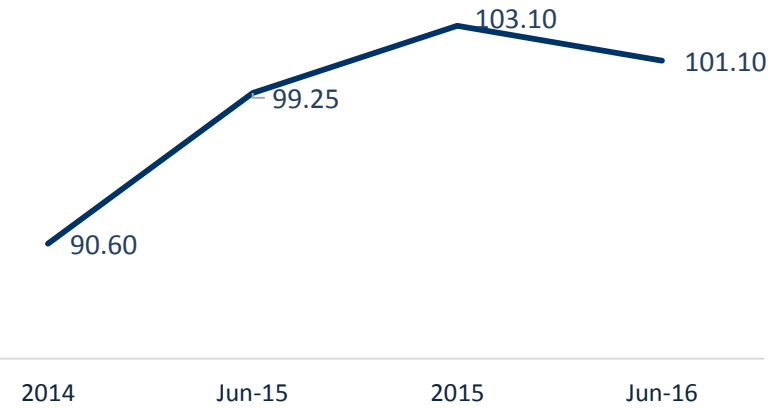
OPERATING ENVIRONMENT

Strong Kenyan Macro Environment

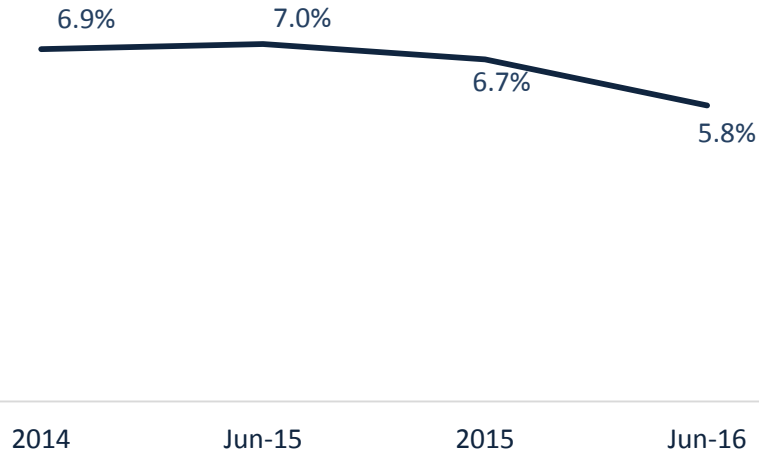
Kenya GDP



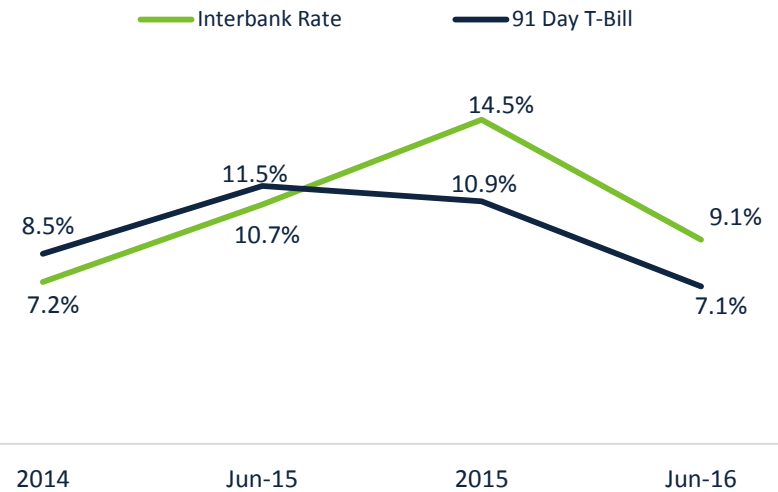
Kenya Exchange Rate



Kenya Inflation

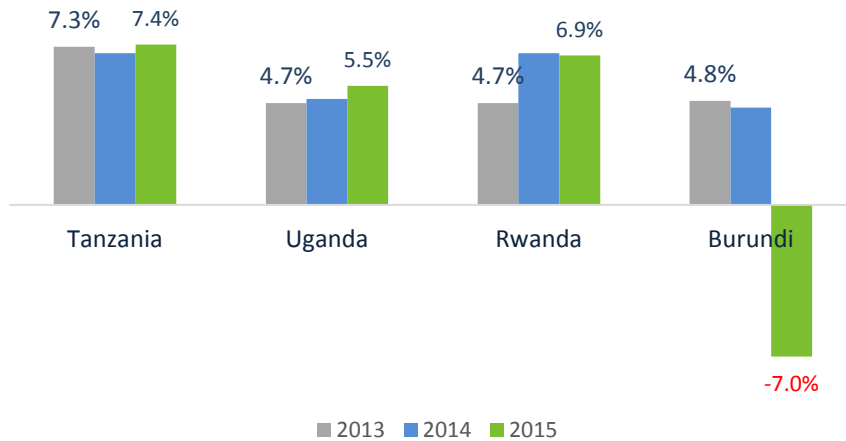


Kenya Interest Rates

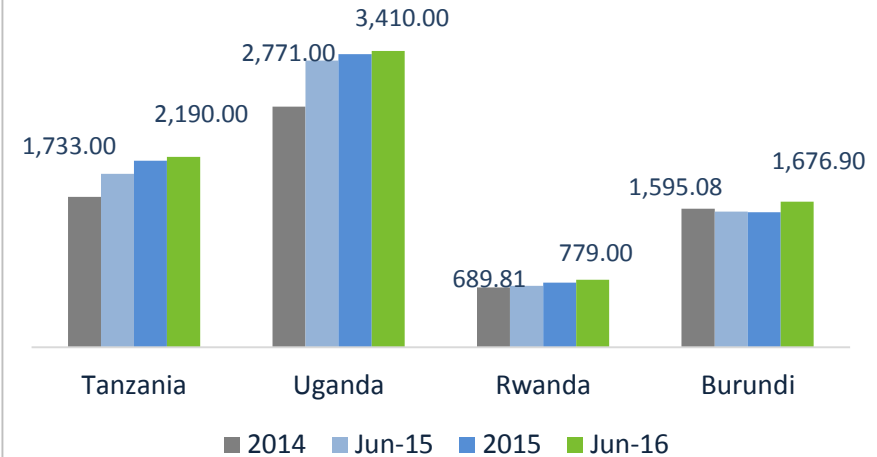


Stable Regional Macro Indicators

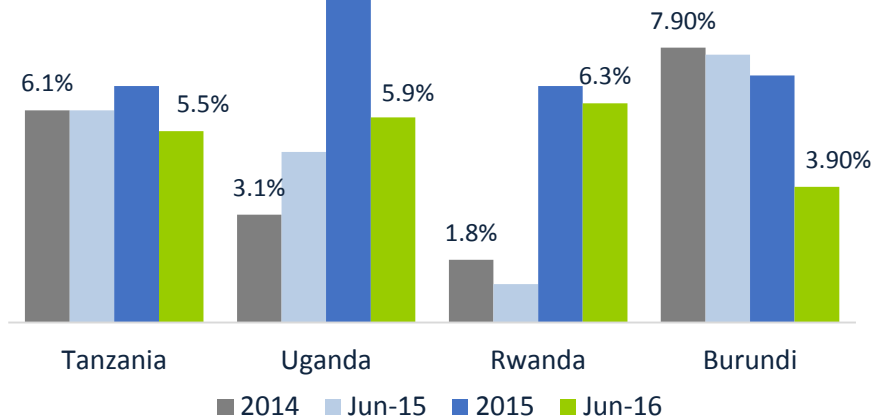
Regional GDP



Regional Currencies

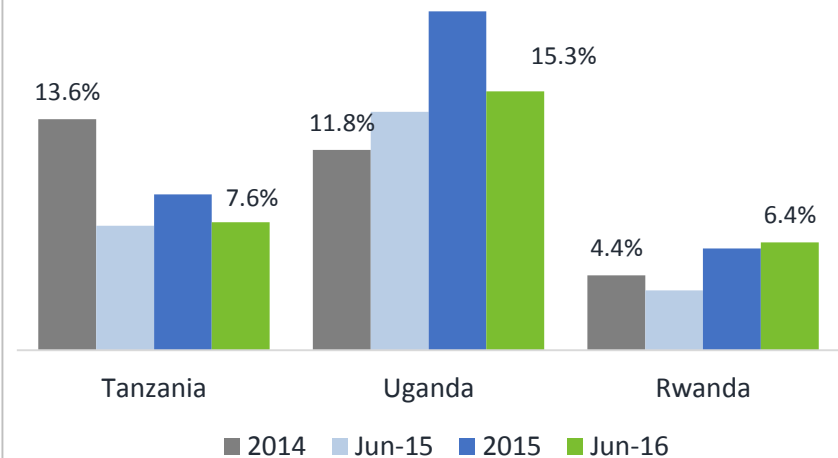


Regional Inflation



*SSP is currently at 51.07 up from 18.5 FY15

Regional Interest Rates



BANKING SECTOR

Chase Bank (IR) Engagement

Appointment for 1 year

All branches re-opened 27 April 2016

Performance to date:

Transaction volumes
460,951

Total deposits
KES 12.362B

Total withdrawals
KES 12.210B

New customers
3,000

Available services

ATM

Clearing

RTGS

Telegraphic
Transfers

Trade

Money
Transfer

Visa

Chase Bank (IR) Milestones



- KCB's assignment at Chase Bank (IR) is complete
- KCB to scale back resources:
 - 50% by 31 August
 - 100% by 30 September 2016

The Banking (Amendment) Bill, 2015

The new section:

- the maximum interest rate chargeable in Kenya at ***no more than four percent***, the base rate set and published by the CBK; and
- the minimum interest granted on a deposit held in interest earning in Kenya to ***at least seventy percent***, the base rate set and published by the CBK

Lending Rates as at June 2016:

KCB

- | | |
|------------------|---------------|
| • Personal | 16.74% |
| • Business | 19.90% |
| • Corporate | 17.35% |
| • Average | 17.99% |

Industry

- | | |
|------------------|---------------|
| • Personal | 18.33% |
| • Business | 19.26% |
| • Corporate | 17.36% |
| • Average | 18.32% |



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CAPITAL RAISE

- Scrip performance - 54% participation by shareholders in the issue
- Strong cash flow expected for the FY 2016 leading to the rescheduling of the Rights Issue
- Debt capital exercise to close in Q3-16



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DIGITAL CHANNEL PERFORMANCE



Interactive 24h chat on www.kcbbankgroup.com



SMS: 22522



0711 087 000 / 0732 187 000

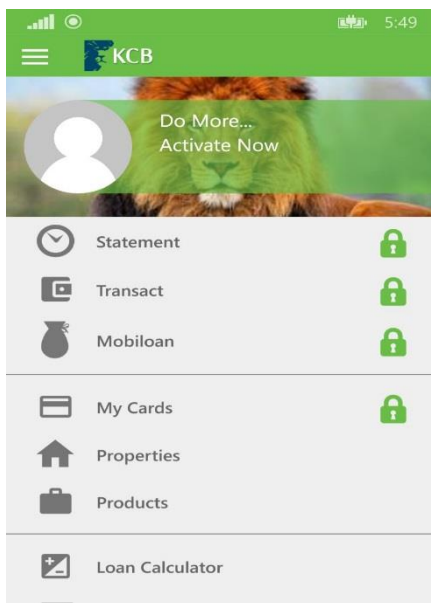
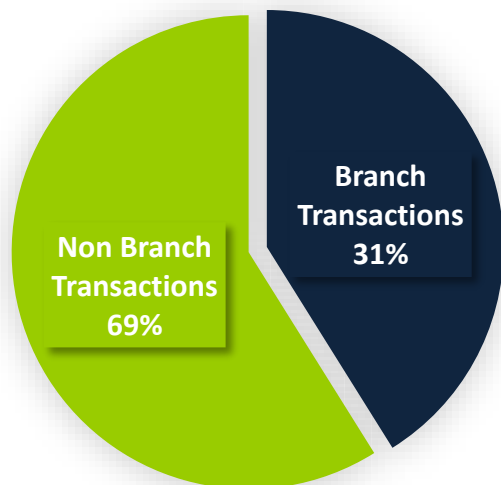


contactcentre@kcb.co.ke

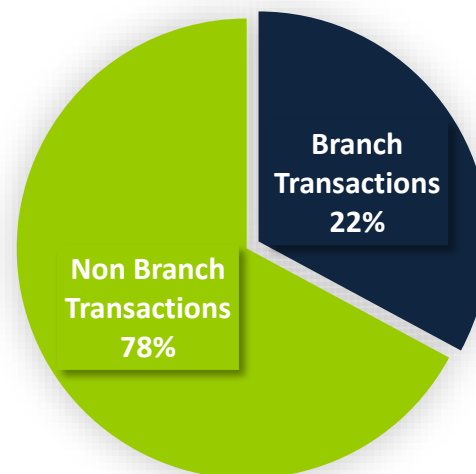


78% of Transaction outside the Branch

1H15 Transactions



1H16 Transactions



Number of deposit accounts

- To June 2016 6.5M
- To June 2015 2.1M

Number of loans

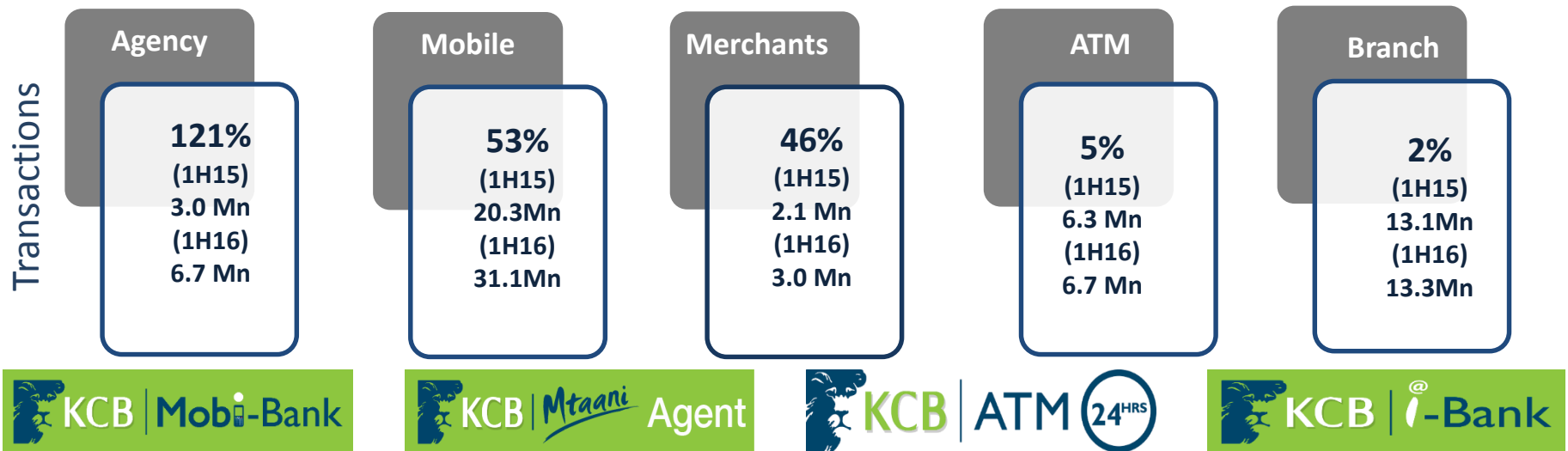
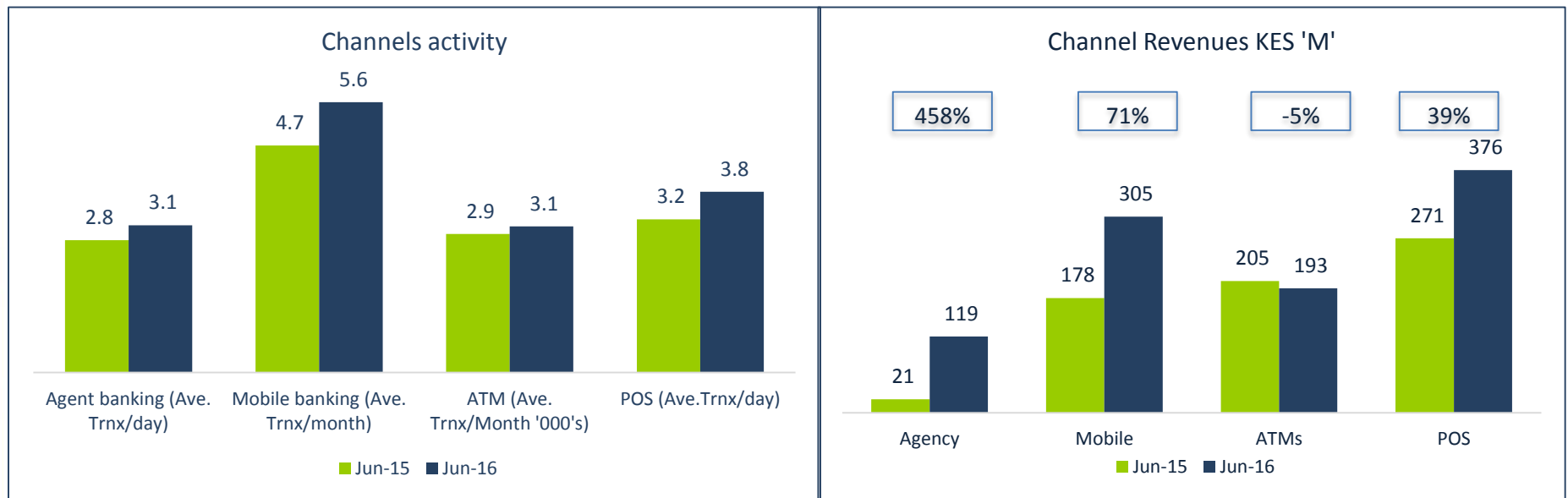
- To June 2016 6.1M
- To June 2015 0.8M

Value of Loans

- To June 2016 KES 11.3B
- To June 2015 KES 2.1B



47% Growth in Channel Revenue

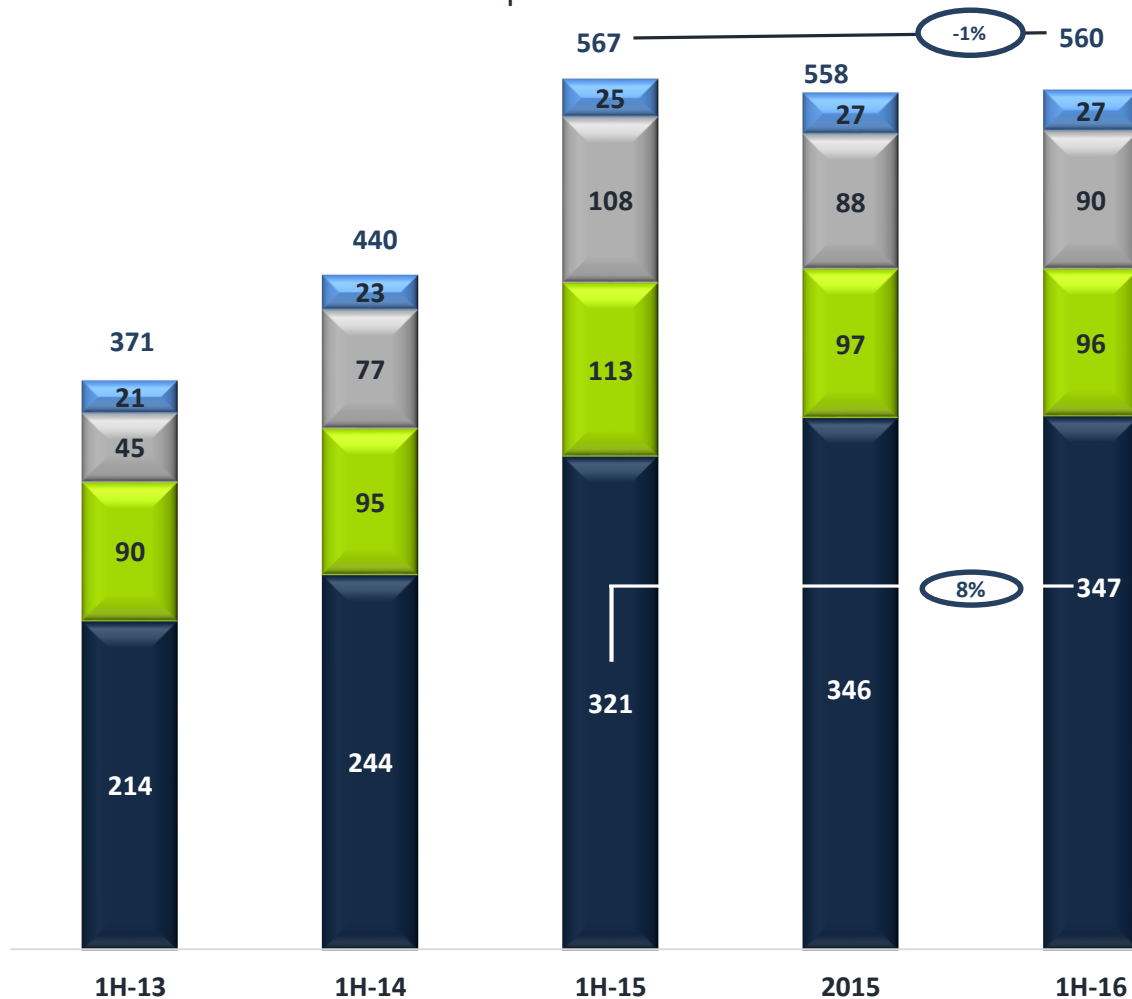


OUR PERFORMANCE TO DATE

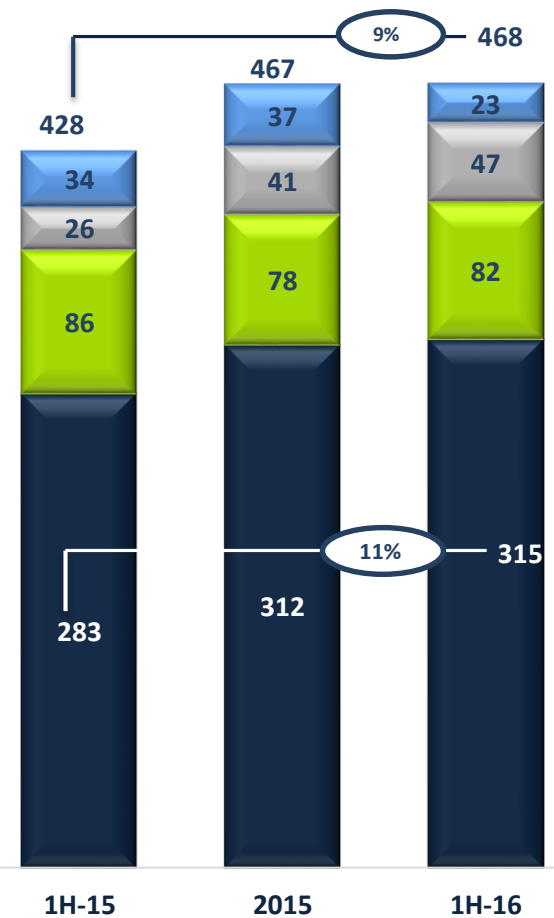
8% Growth in Loans and Advances

KShs B

Group Asset Portfolio



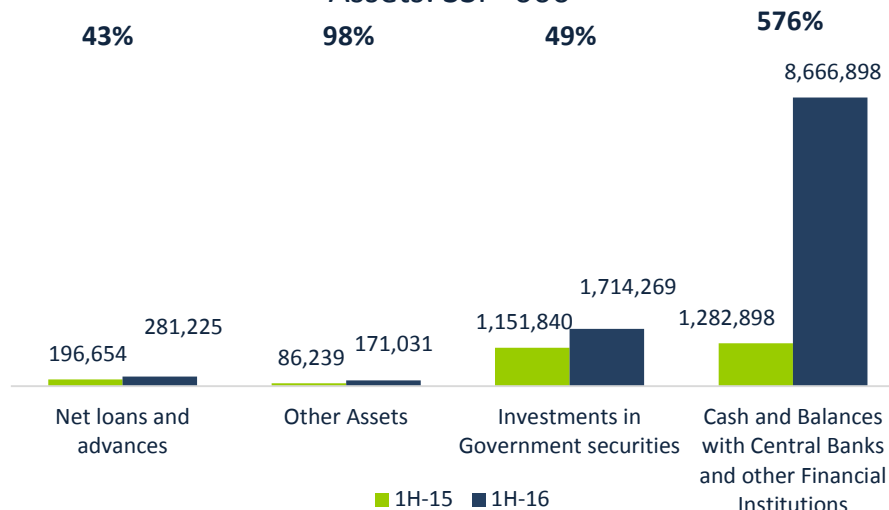
Kenya Asset Portfolio



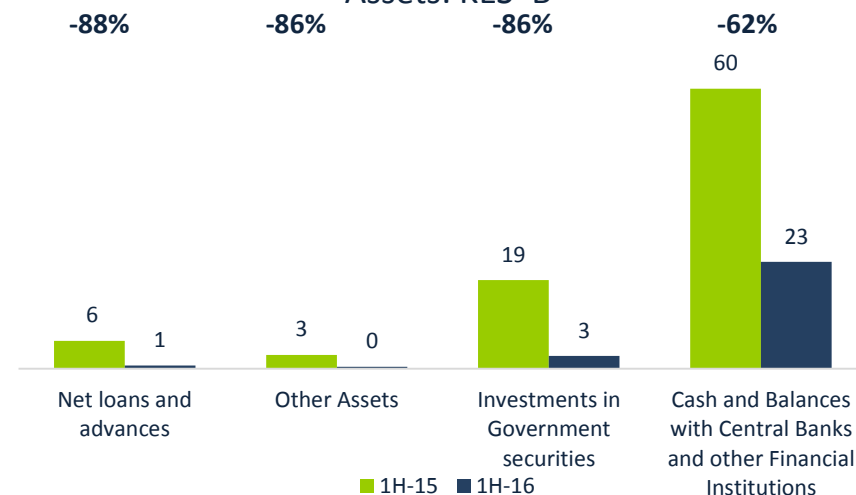
Net Loans and advances Investment in Govt. Securities Cash and Balances with Central Bank and other Financial Institutions Other Assets

-70% Balance Sheet Impact in South Sudan

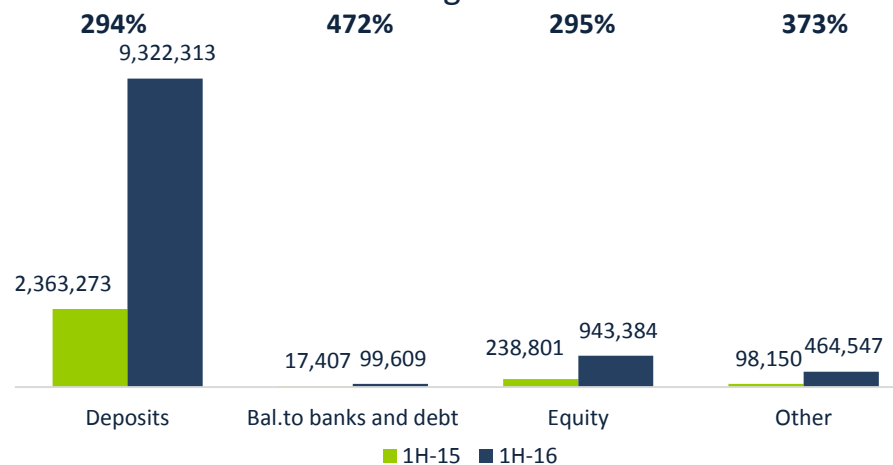
Assets: SSP '000



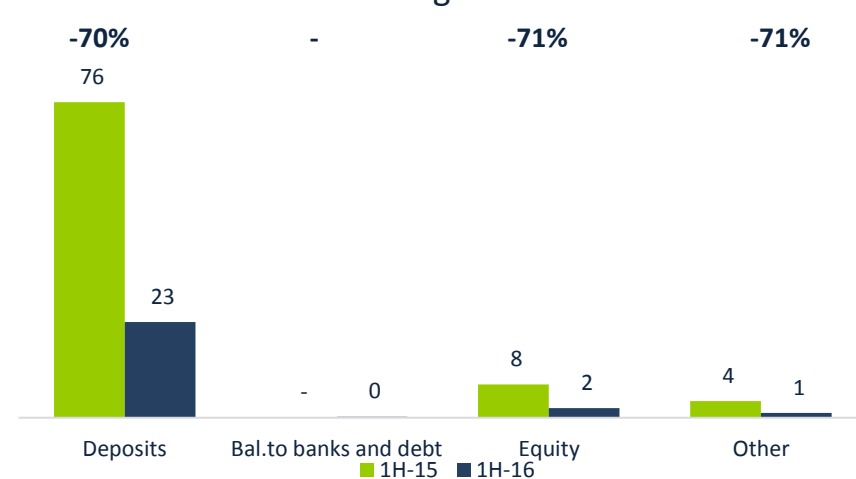
Assets: KES 'B



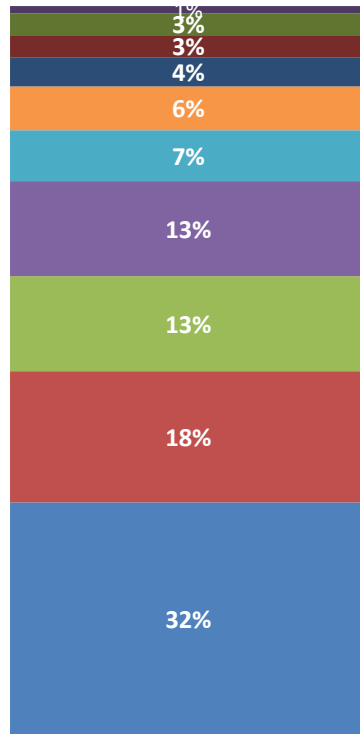
Funding: SSP '000



Funding: KES 'B

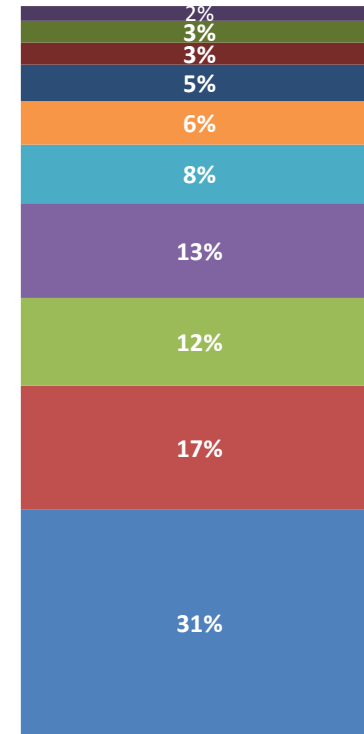


Balanced Loan Segmentation



H1-15

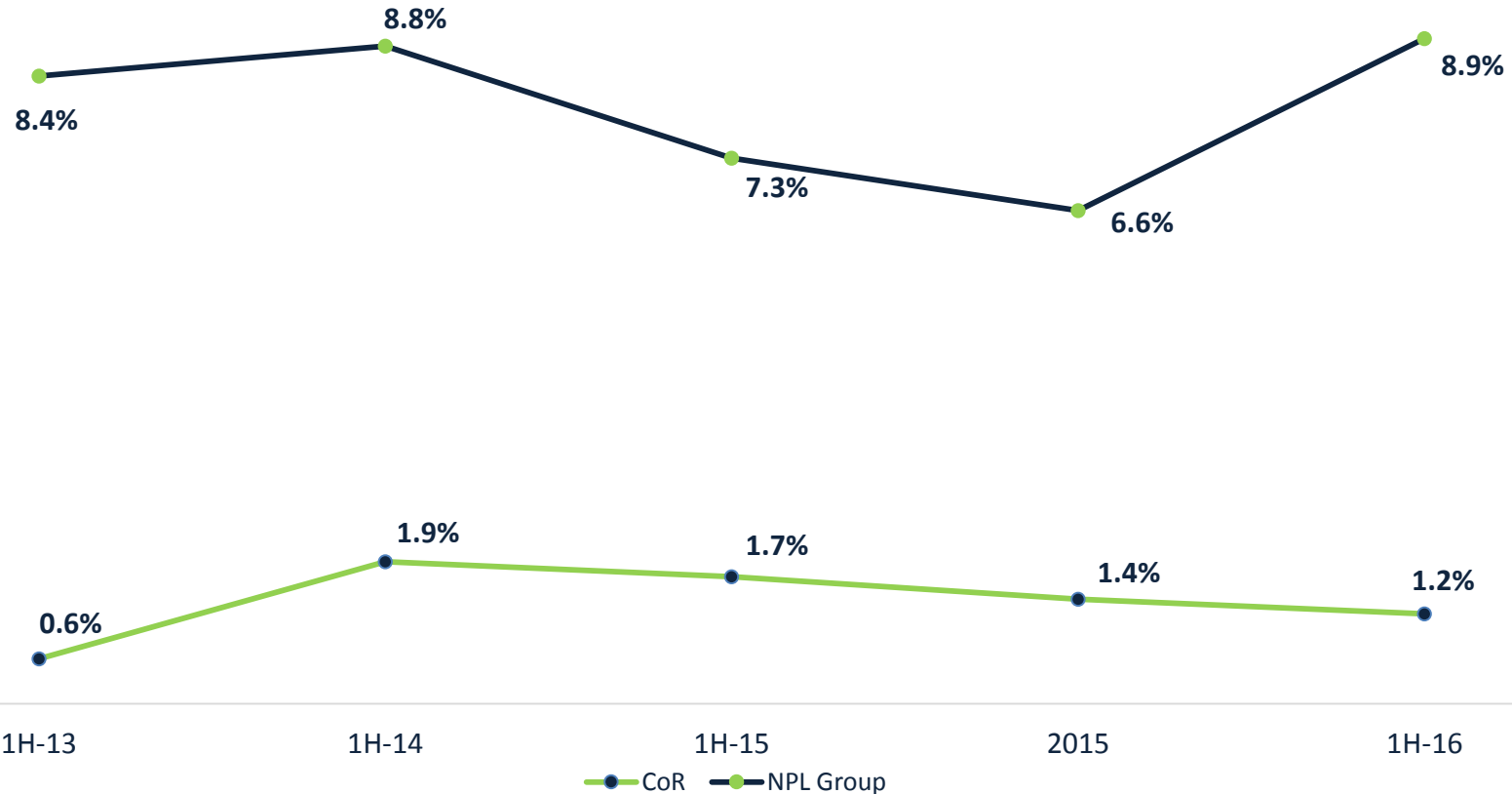
■ Personal ■ Real Estate
■ Building & Construction ■ Transport
■ Tourism, Restaurant & Hotels ■ Energy & Water



H1-16

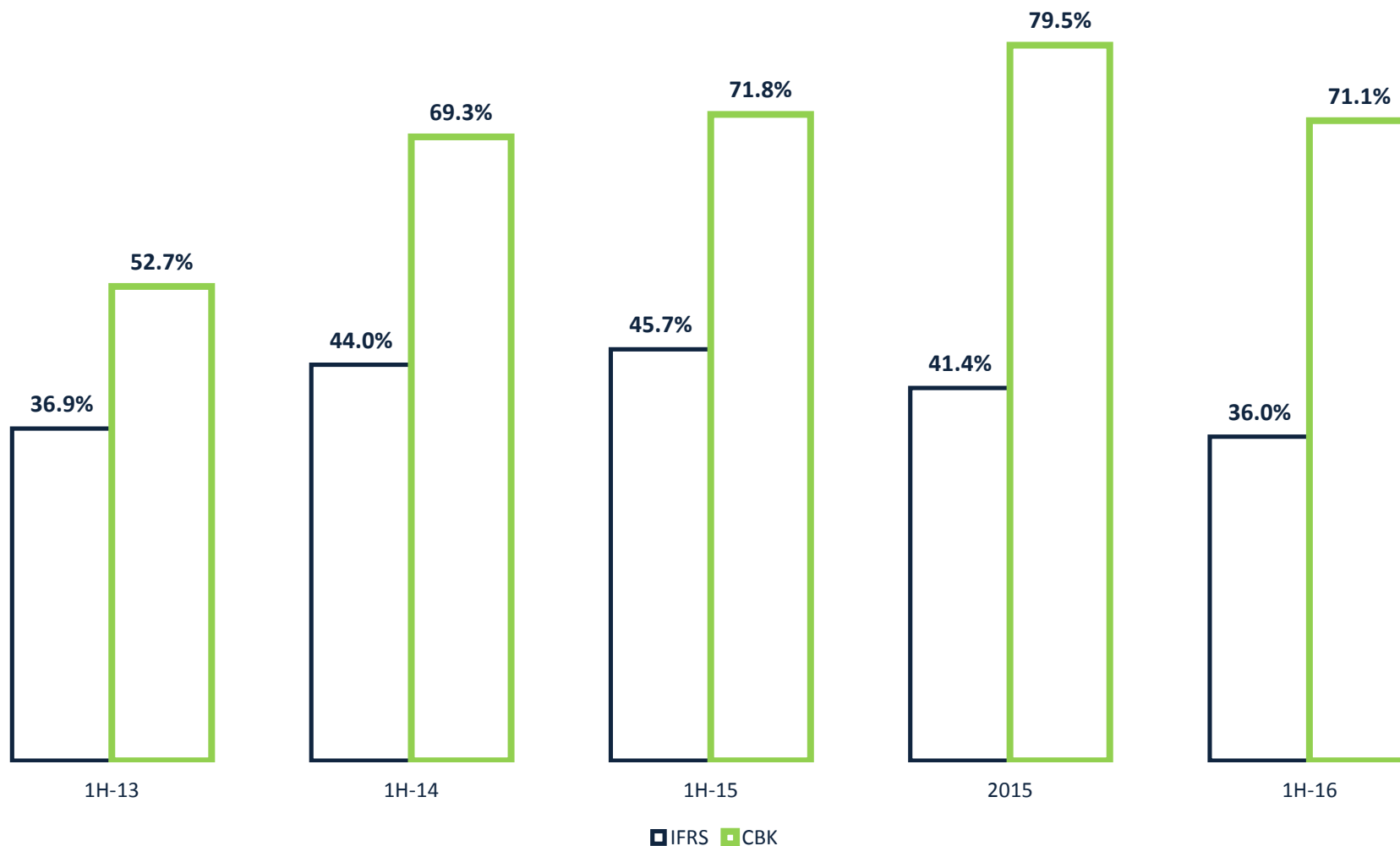
■ Manufacturing ■ Trade
■ Financials ■ Agriculture
■ Mining & Quarrying

Marginal Drop in Asset Quality



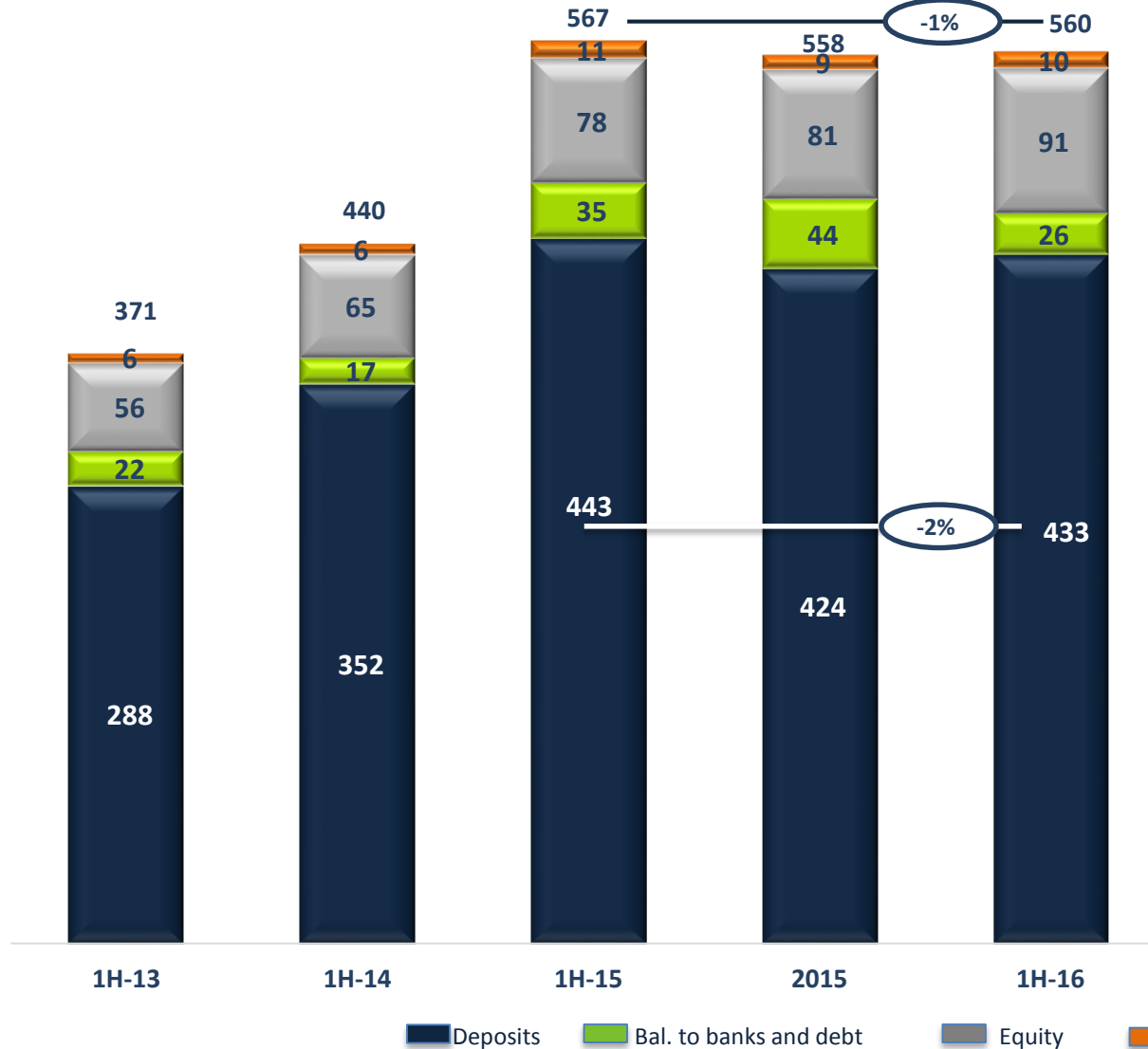
- 2016 NPL Increase driven by 3 key accounts; Construction and Government related
- Loans fully covered by collateral
- Full recovery expected by year end

Coverage Levels supported by increased provisioning

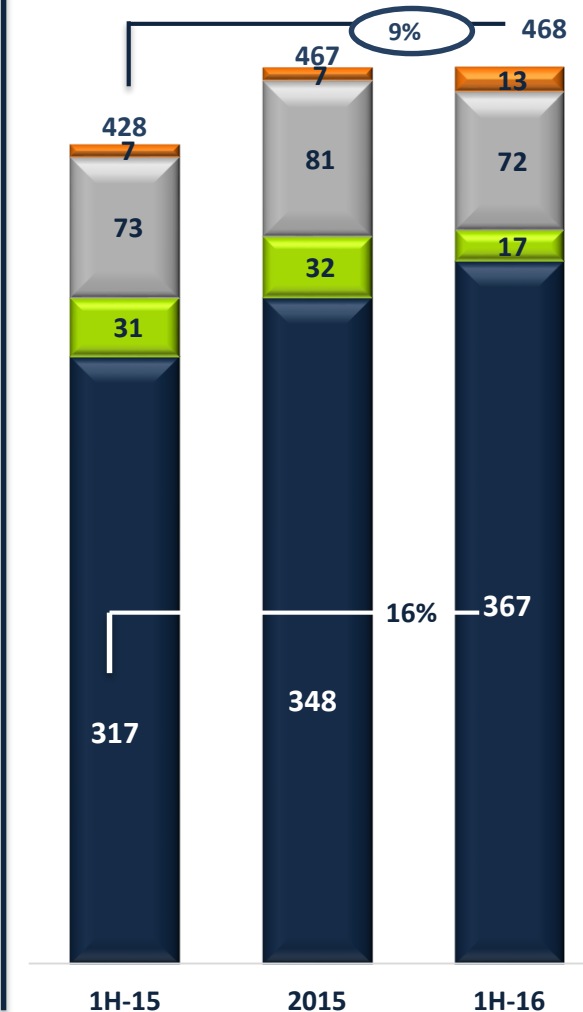


77% of Funding from Deposits

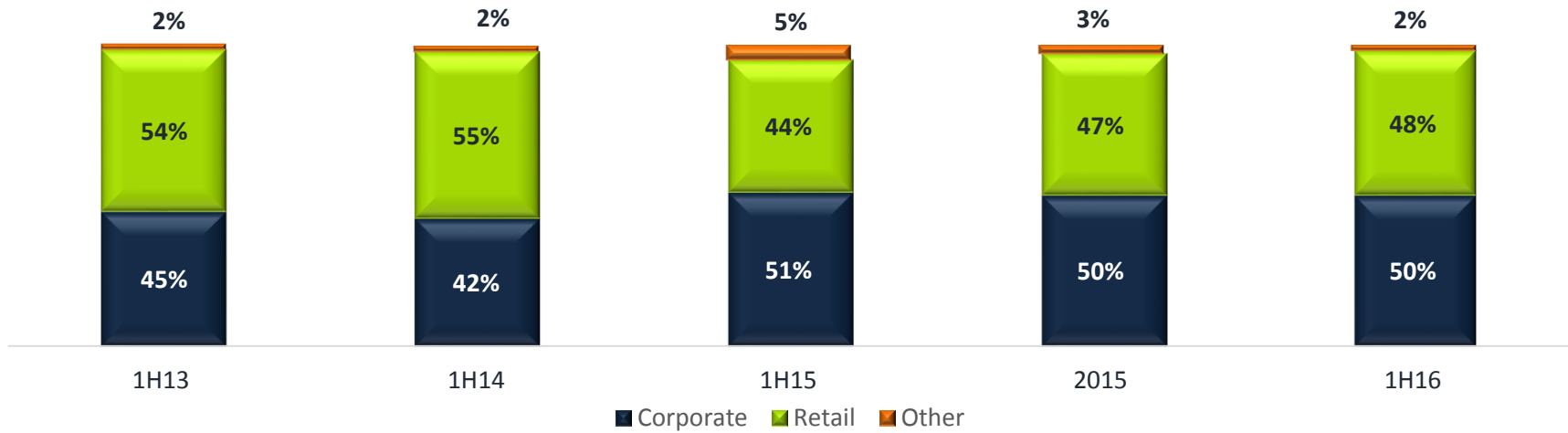
KShs B



Kenya Funding Portfolio



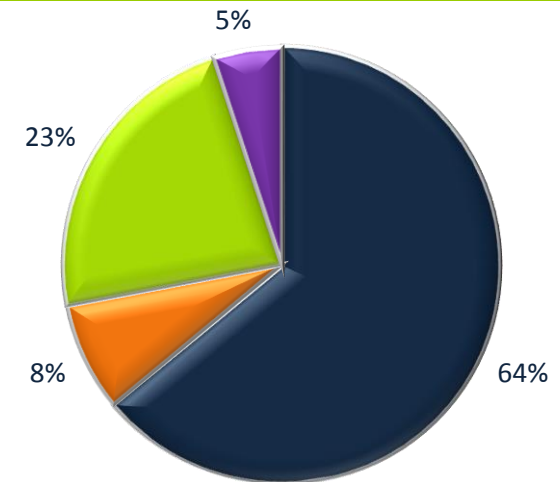
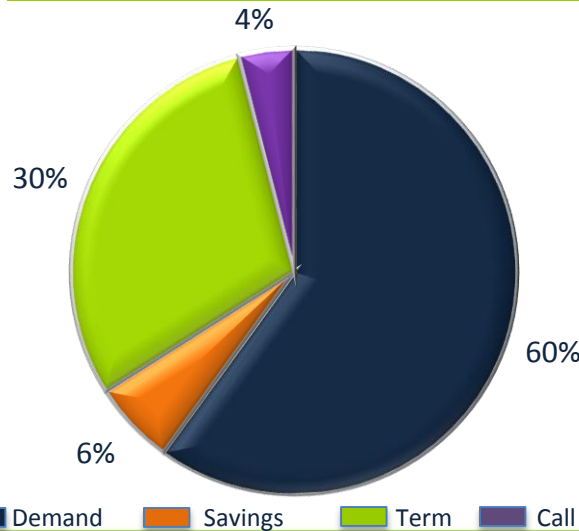
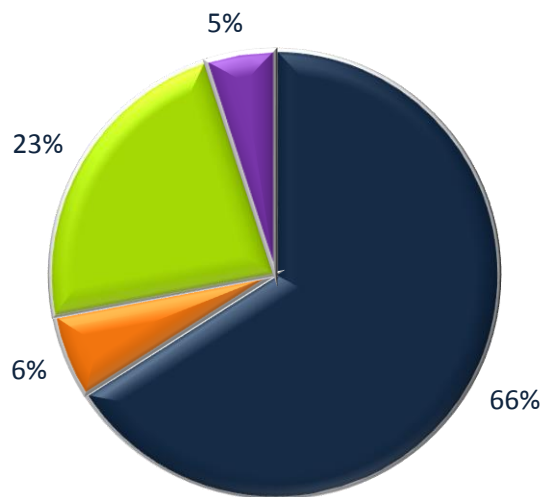
72% Current and Savings Account Deposits



Deposits by Type 1H16

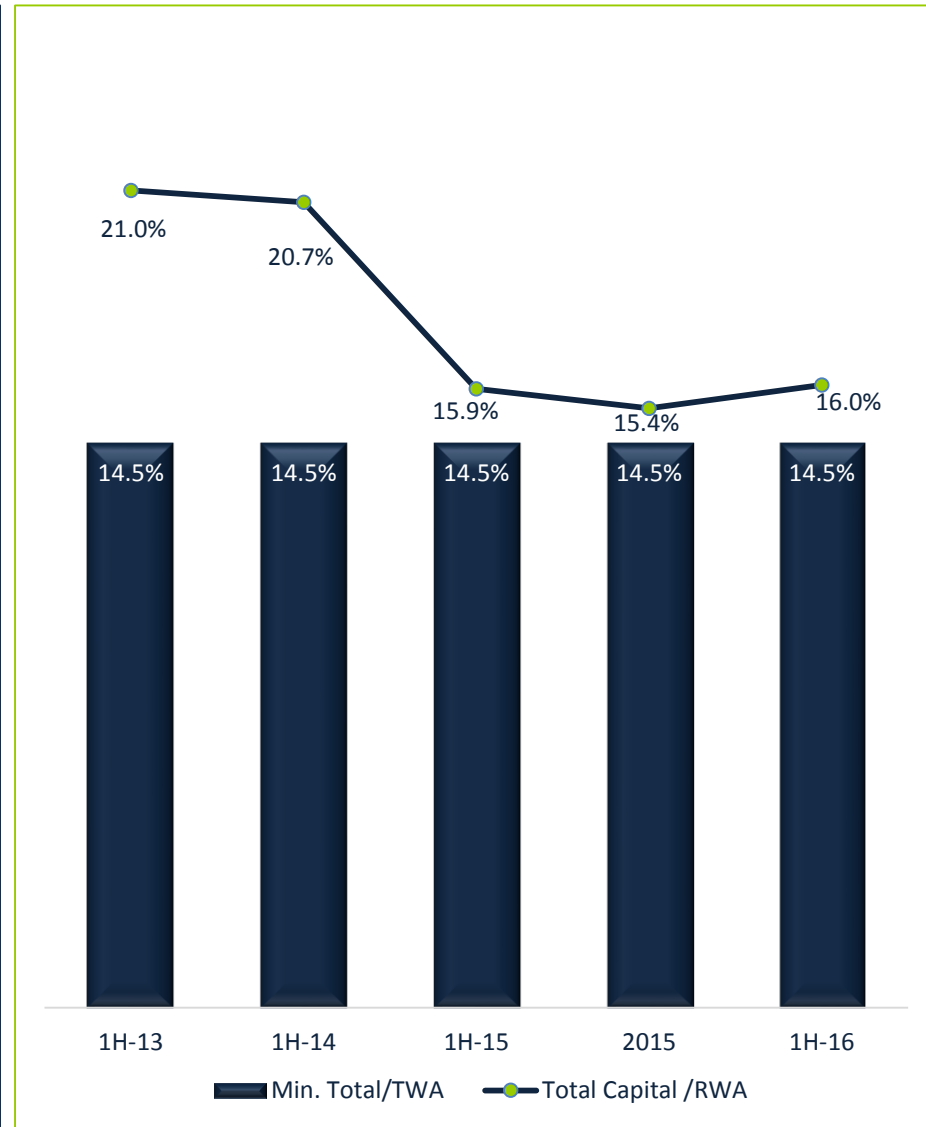
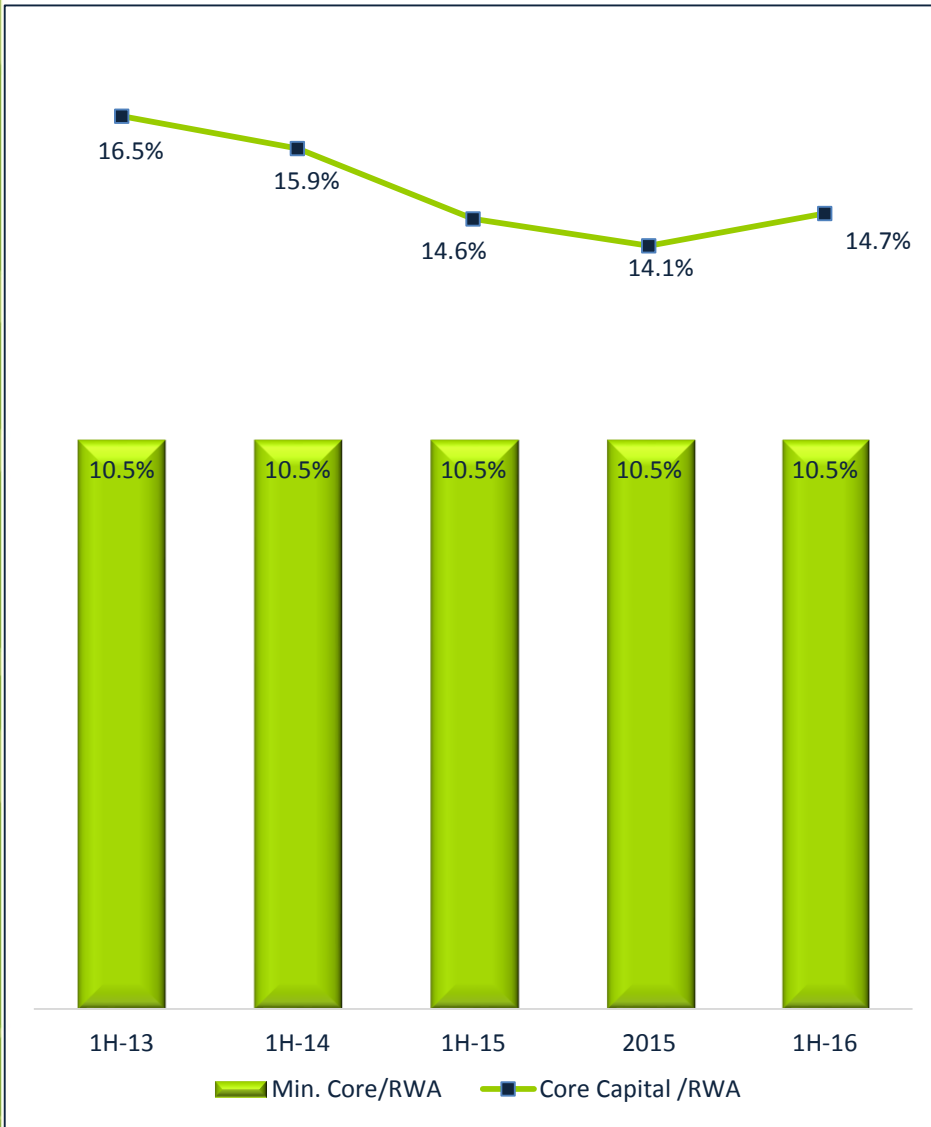
Deposits by Type FY15

Deposits by Type 1H15



■ Demand ■ Savings ■ Term ■ Call

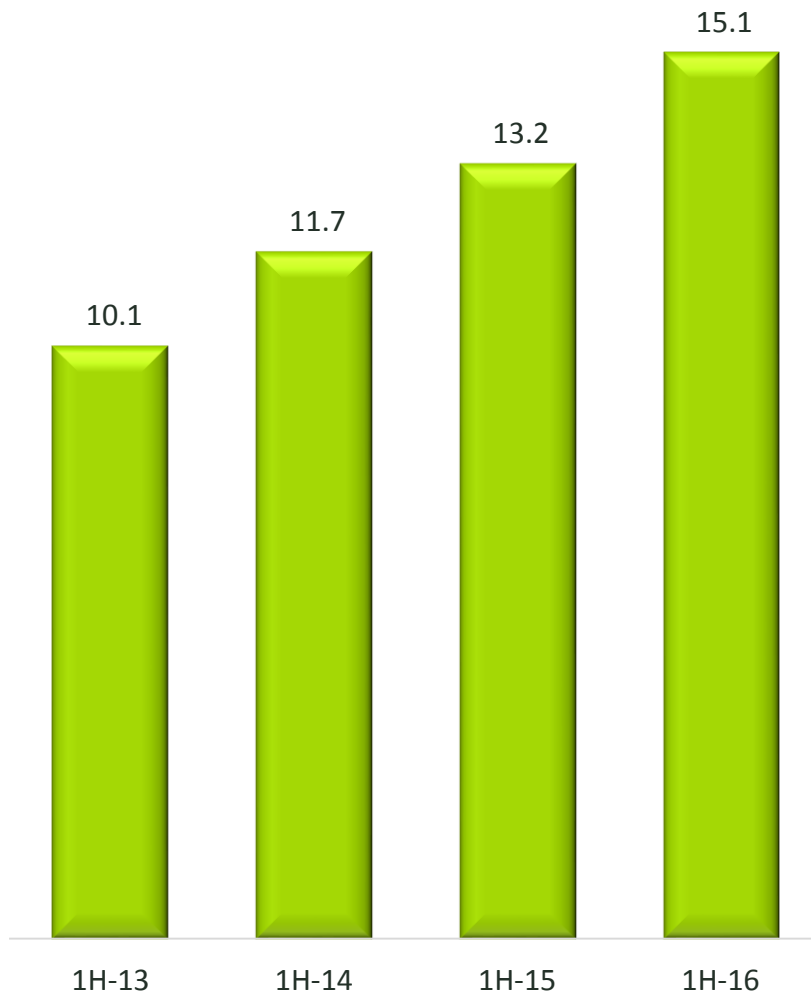
Sufficient Core Capital, Total Capital to increase through Tier 2 Capital



19% Kenya PBT and 14% Group PBT Growth

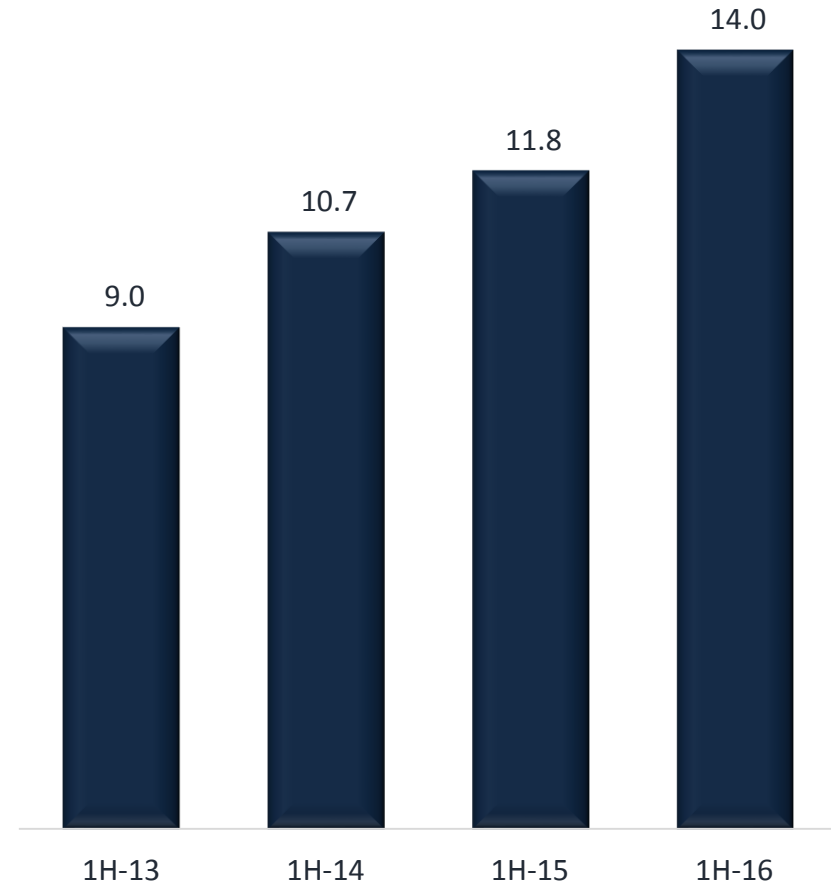
KShs B

GROUP PBT



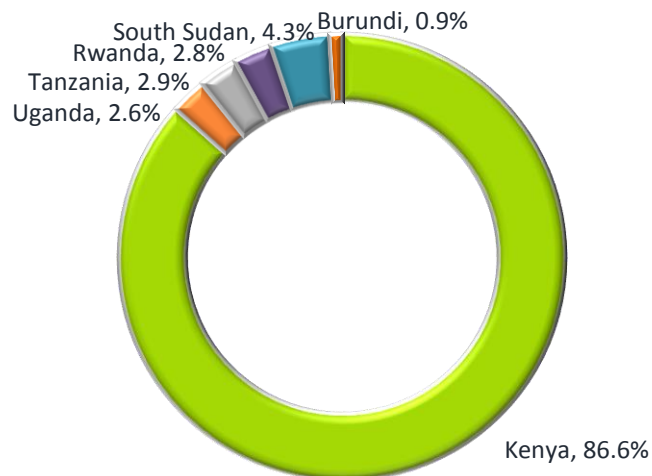
KShs B

KENYA PBT

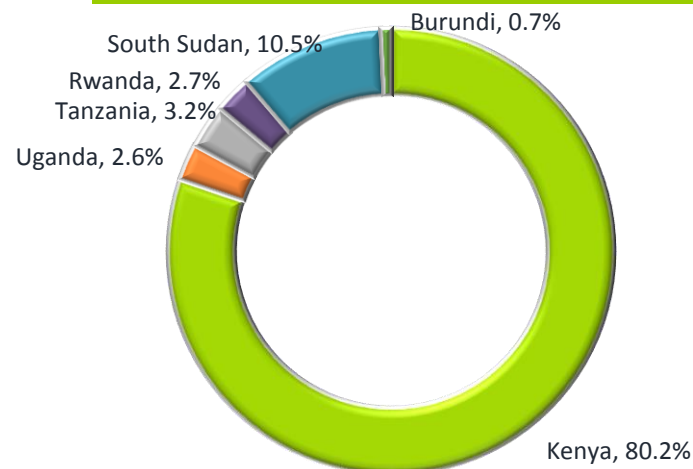


19% growth in Kenya PBT strengthens the Group

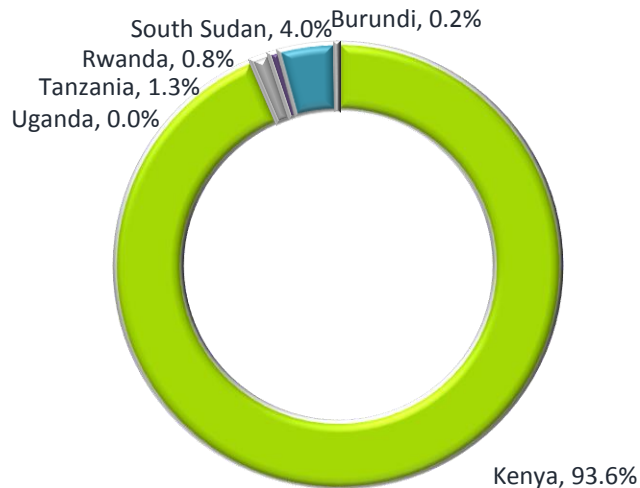
Revenue 1H16



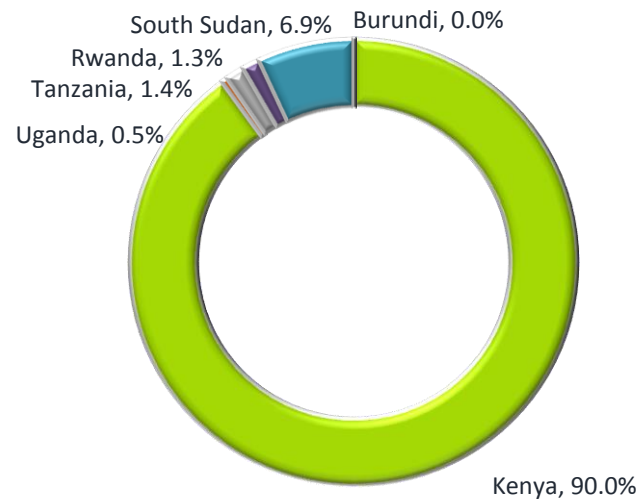
Revenue 1H15



Profitability 1H16

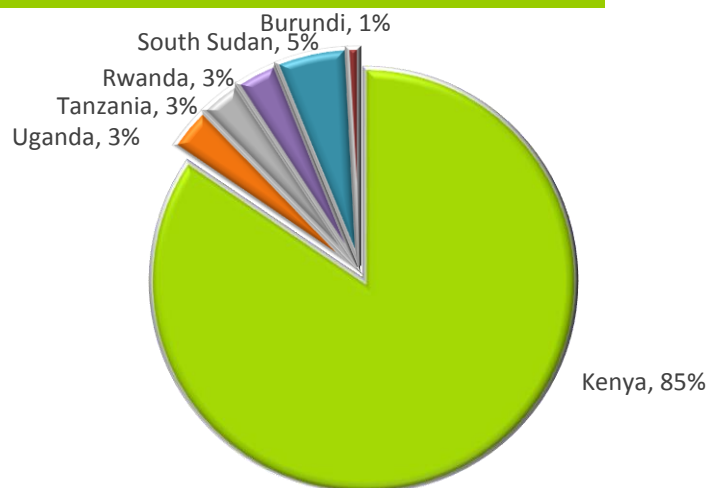


Profitability 1H15

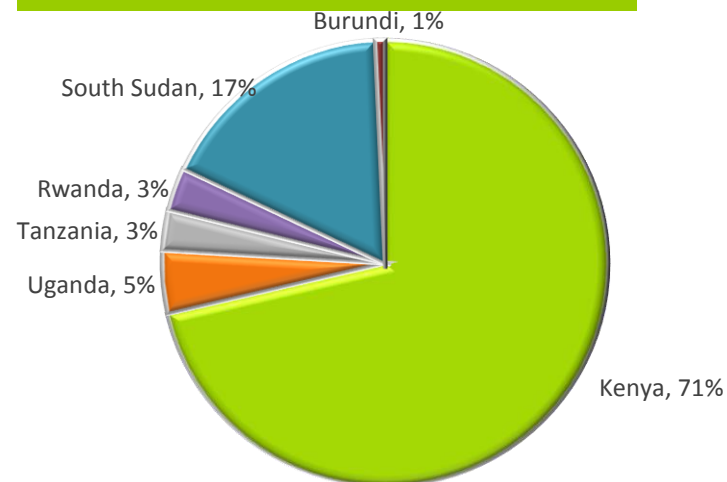


9% growth of Kenya Balance Sheet boosts overall contribution

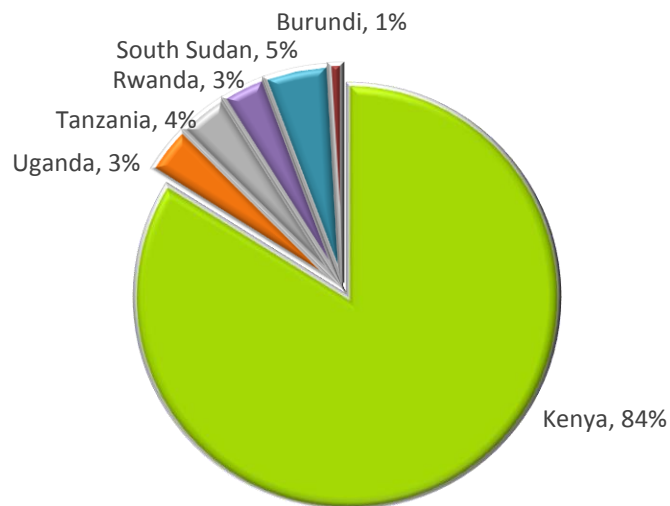
Deposits 1H16



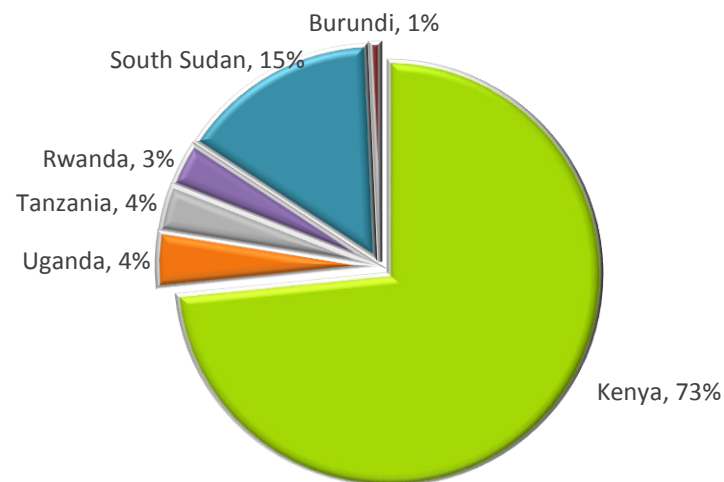
Deposits 1H15



Total Assets 1H16



Total Assets 1H15



Asset Portfolio Summary

KShs Millions	KCB BANK KENYA			KCB GROUP		
	Actual Jun - 16	Actual Jun - 15	% Y-O-Y Change	Actual Jun - 16	Actual Jun - 15	% Y-O-Y Change
Cash	6,591	6,788	-3%	10,913	16,209	-33%
Balances with Central Bank	34,926	11,675	199%	34,926	11,675	199%
Balances with other institutions	5,797	7,458	-22%	43,827	79,985	-45%
Investments in Government & Other securities	82,116	85,706	-4%	96,352	113,471	-15%
Net loans and advances	315,327	283,200	11%	347,396	320,601	8%
Fixed assets	8,683	7,377	18%	11,094	11,039	0%
Other assets	14,680	26,169	-44%	15,434	13,630	13%
Total Assets	468,119	428,374	9%	559,942	566,610	-1%

Funding Portfolio Summary

KShs Millions	KCB BANK KENYA			KCB GROUP		
	Actual Jun - 16	Actual Jun - 15	% Y-O-Y Change	Actual Jun - 16	Actual Jun - 15	% Y-O-Y Change
Customer Deposits	366,821	317,059	16%	433,424	443,036	-2%
Balances due to other banks	1,136	10,185	-89%	8,570	12,273	-30%
Other liabilities	12,854	6,781	90%	9,246	10,728	-14%
Long-term debt	15,487	20,914	-26%	17,746	22,474	-21%
Total Liabilities	396,297	354,940	12%	468,986	488,512	-4%
Shareholders' Equity	71,822	73,434	-2%	90,956	78,097	16%
Total Liabilities and Equity	468,119	428,374	9%	559,942	566,610	-1%

Growth in Profitability supported by Increased Margins

KShs Millions	KCB BANK KENYA			KCB GROUP		
	Actual Jun - 16	Actual Jun - 15	% Y-O-Y Change	Actual Jun - 16	Actual Jun - 15	% Y-O-Y Change
Interest Income	28,291	22,525	26%	31,638	25,854	22%
Interest Expense	7,783	5,442	43%	9,109	6,408	42%
Net interest income	20,508	17,083	20%	22,529	19,446	16%
Foreign exchange income	1,036	1,213	-15%	1,576	2,014	-22%
Net fees and commissions	4,613	4,544	2%	6,473	6,844	-5%
Other income	2,111	1,613	31%	2,351	2,411	-3%
Total operating income	28,268	24,453	16%	32,929	30,715	7%
Total operating expenses	12,529	11,219	12%	15,763	14,919	6%
Provisions for bad debts	1,775	1,450	22%	2,071	2,593	-20%
Profit before tax	13,964	11,783	19%	15,095	13,203	14%
Tax	4,189	3,535	19%	4,595	3,961	16%
Profit after tax	9,775	8,248	19%	10,500	9,242	14%

Overview of Key Financial Ratios

1H15	FY15	1Q16		KENYA	GROUP
24.0%	25.0%	22.4%	Return on Average Equity	27.5%	24.4%
48.6%	50.1%	48.4%	Cost to Income	44.3%	47.9%
7.3%	6.6%	8.5%	Gross NPL to Gross Loans	8.5%	8.9%
71.8%	79.5%	69.1%	NPL Coverage	71.4%	71.1%
28.8%	24.8%	23.3%	Debt to Equity	21.6%	19.5%
36.7%	37.3%	26.0%	Non funded income to total income	27.5%	31.6%
2.9%	3.9%	4.5%	Cost of funds	4.1%	3.9%
8.5%	8.8%	9.4%	Net Interest Margin	10.7%	9.7%
1.7%	1.4%	1.6%	Cost of risk	1.1%	1.2%
72.0%	83.8%	84.4%	Loan to Deposit Ratio	86.0%	80.2%
32%	22%	16%	Growth of Net Loans and Advances	11%	8%
26%	12%	7%	Growth of Customer Deposits	16%	-2%



For further information please contact

Investor Relations department
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www.kcbbankgroup.com